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For the President
20 August 2026

Today's Brief

US-CANADA: Trump pauses 50% tariffs and claims a deal; Carney says work remains.

ISRAEL-GAZA: Strikes continue despite US drawdown ask; IDF opens criminal probes.

IRAN: Paris expulsions and Gulf friction deepen Tehran's isolation as Hormuz drags.

KOREA: Pyongyang rebuffs Trump's scaled-back drills, cooling diplomacy hopes.

UKRAINE: Russia hits a Kyiv children's hospital; Ukraine strikes Russian oil.

US ECONOMY: July Fed minutes land as soft data pares September hike odds.

NOTES: Indonesia quake; regional powers court the Taliban.

For the President
20 August 2026



Trump Pauses Canada Tariffs and Claims a Deal; Ottawa Says Work Remains

We assess that the last-minute pause President Trump ordered on a threatened 50 percent tariff increase against Canada reflects a genuine narrowing of differences rather than a durable settlement, and that a formal agreement remains contingent on unresolved sectoral disputes. Trump announced the three-day pause late on 18 August after a phone call with Prime Minister Mark Carney, hours before the new duties were to take effect, and told reporters on 19 August the two sides had reached a “very fair” deal under which US farm and business exports to Canada would face no tariffs. Carney was markedly more guarded, saying “substantial progress” had been made but “important work” remained.

- The averted tranche would have hit roughly US\$20 billion in Canadian goods—cement, wine, hockey sticks and others—on top of existing frictions over autos, steel and aluminum.
- Trump signaled the emerging package could lower US duties on Canadian steel and aluminum toward 25 percent, revisit auto tariffs, and—notably—revive the Keystone XL pipeline scrapped in 2021, folding an energy deliverable into a trade fix.
- We judge the gap between the two leaders' characterizations is itself the story: Trump is presenting a close, while Ottawa is signaling that core auto and metals terms are not locked.

For Washington, a stable understanding with the closest US trading partner would ease supply-chain and inflation risk at a moment when an oil-price premium is already complicating the domestic outlook. We expect the next decision point within the three-day window: either a signed framework or a snap-back to the 50 percent schedule. A collapse would likely trigger the Canadian retaliation Carney has threatened on autos and reintroduce cross-border cost pressure the President has been working to contain.

Prepared by ODNI with reporting from INR, Treasury OIA, and open sources.

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Israeli Strikes Persist Despite US Drawdown Request; Military Opens Criminal Probes

We assess that Israeli operations in Gaza are outpacing the diplomatic track the United States is trying to build, casting doubt on the durability of the US-backed framework even as both governments profess commitment to it. On 19 August, roughly two days after US negotiators asked Israel to draw down strikes, at least 10 Palestinians were killed in two Israeli strikes—including a strike on a Gaza cafe that Israel said targeted Hamas Nukhba fighters but that also killed civilians, among them a child. Separately, the Israeli military announced it would open criminal investigations into the killing of a five-year-old girl and her family and the earlier killing of 15 paramedics.

- The strikes came days after senior adviser Jared Kushner met Prime Minister Netanyahu on a US 15-point plan; the “Board of Peace” is weighing shifting Hamas disarmament from a phased schedule to an all-at-once model Israel prefers.
- Hamas restated its commitment to the disarmament framework on 18 August, leaving sequencing—not the principle—as the central obstacle.
- We judge the criminal probes are intended in part to blunt allied and international criticism, but they are unlikely to satisfy partners pressing for a verifiable reduction in civilian harm.

The near-term risk is widening. Israel also escalated strikes into Lebanon over the same period amid warnings of an “alarming” surge in violence, raising the prospect of a second front that would complicate the Gaza diplomacy. For Washington, the key question is whether it can convert Kushner's plan into a ceasefire sequence before the operational tempo forecloses it; we expect continued US pressure on Israel to pair the investigations with a concrete drawdown.

Prepared by ODNI with reporting from CIA, DIA, INR, and open sources.

For the President
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Paris Expulsions and Gulf Friction Deepen Iran's Isolation as Hormuz Standoff Drags

We assess that a cluster of diplomatic and maritime frictions is tightening Iran's regional and European isolation even as the effort to normalize shipping through the Strait of Hormuz stalls. France announced on 18 August it would expel two Iranian diplomats “in the coming days,” retaliating for Tehran's treatment of French embassy staff detained in July and its barring of two French diplomats; Foreign Minister Jean-Noël Barrot called Iran's conduct “intolerable.” Ties between Tehran and the United Arab Emirates have also soured, with Abu Dhabi reporting a “missile threat” on 18 August.

- The 60-day memorandum of understanding meant to reopen Hormuz lapsed on 17 August without a final deal, and a US-backed blockade has been reinstated; Iran, Oman and the US remain in indirect contact via intermediaries.
- Open transits through the strait's southern corridor have thinned since IRGC strikes on commercial shipping began in early July, with remaining traffic skewed toward Iranian- and Chinese-linked vessels using a northern route.
- We judge Tehran is using calibrated maritime pressure as leverage for sanctions relief while trying to avoid a trigger for renewed US strikes.

The energy-security premium this standoff keeps in oil is now feeding directly into the US inflation picture (see US Economy). For Washington, the near-term watch item is whether Oman-brokered talks produce an interim reopening in the next several days, as Muscat has suggested, or whether another attack on shipping resets the confrontation. We expect Gulf partners to keep hedging—pressing Tehran while quietly seeking to avoid a wider war.

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Pyongyang Rebuffs Trump's Scaled-Back Drills, Cooling Diplomacy Hopes

We assess that North Korea's dismissal of President Trump's decision to sharply reduce this year's US–South Korea exercises signals Pyongyang sees little incentive to re-engage on Washington's terms in the near term. Late on 19 August, Kim Yo Jong—the influential sister of leader Kim Jong Un—issued the North's first response to the drawdown, saying the reduction “changes nothing” because Pyongyang still regards the drills as a rehearsal for aggression. The comment dampened hopes for an early resumption of Kim–Trump diplomacy.

- US and South Korean forces shortened the Ulchi Freedom Shield exercise after Trump ordered a cut; the North had earlier warned of an “overwhelming” response and branded expanding US–ROK–Japan cooperation a “nuclear alliance.”
- Pyongyang has conducted a run of ballistic-missile tests in 2026 and maintained an unusual media blackout around several launches, complicating classification of the systems.
- We judge the drawdown was intended as an opening to Kim; its flat rejection suggests the North is holding out for sanctions relief or recognition as a nuclear state before returning to talks.

For Washington, the episode highlights the cost of trading exercise readiness for a diplomatic opening that Pyongyang has not reciprocated—a concern allies in Seoul and Tokyo share. We expect the North to keep testing and to time provocations to alliance activities; a resumption of leader-level contact is unlikely without a concession the administration has so far withheld.

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Russia Strikes a Kyiv Children's Hospital as Ukraine Hits Russian Oil

We assess that the war's strike-counterstrike dynamic intensified overnight, with Russia again exploiting Ukrainian air-defense shortfalls to hit the capital and Ukraine pressing its campaign against Russian oil infrastructure. Russian attacks across Ukraine on 19 August killed at least 17 people and wounded more than 50; a strike on Kyiv killed at least 12 and damaged a children's hospital, and a drone hit a minibus in Kherson, killing four. Ukraine's Air Force reported two Iskander-M ballistic missiles and 65 drones launched overnight.

- Overnight into 20 August, Ukrainian drones struck an oil refinery in Russia's Republic of Tatarstan and an oil terminal in Krasnodar Krai, extending a deep-strike campaign against Russian energy and logistics.
- Kyiv says it has disabled seven of the ten largest hubs of the Wildberries logistics network since mid-July, targeting the rear that sustains Russian operations.
- We judge Russia is deliberately concentrating strikes where Ukrainian interceptor stocks are thinnest, underscoring Kyiv's dependence on resupply of Western air defenses.

Overhead imagery of the Tatarstan and Krasnodar sites is consistent with fresh strike damage to storage and processing capacity. For Washington, the pattern sharpens the interceptor-supply question that has dogged allied support; we expect Ukraine to keep trading its expanding deep-strike reach against Russia's rear for the civilian toll Moscow imposes on Ukrainian cities, with neither side near a decisive result.

Prepared by ODNI with reporting from DIA, NGA, NSA, and open sources.

For the President
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July Fed Minutes Land as Soft Data Pares September Rate-Hike Odds

We assess that the July Federal Open Market Committee minutes, released 19 August, will show a committee divided over how much weight to give an energy-driven inflation impulse versus signs of a cooling labor market—the central tension of Chair Kevin Warsh's early tenure. A run of soft prints in one week—employment, consumer prices and producer prices—pushed market-implied odds of a September rate increase down from roughly 50 percent to about 31 percent.

- Gold, which had rallied more than 10 percent in August to above US\$4,400, pulled back toward US\$4,350 as long-term borrowing costs hit multi-decade highs across the US, Japan and Germany and the Hormuz oil premium lifted inflation expectations.
- The energy-security premium tied to the Iran standoff is the wildcard: it argues for tighter policy even as growth data soften.
- Markets are treating Warsh's first Jackson Hole address, on 27–29 August, as the more consequential signal for the path of policy.

For the President, the near-term read is that a data-dependent Fed has more room to hold than to hike, but that an oil shock out of the Gulf could force its hand. We expect Warsh to use Jackson Hole to frame how the committee will weigh a supply-side inflation shock it cannot control against a labor market that is clearly slowing.

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Notes

Indonesia — Deadly Flores quake. Rescue teams on 19 August pulled a survivor from the rubble three days after a magnitude-7.7 earthquake struck off Flores Island on 15 August; the death toll has climbed to roughly 68 with more than 200 injured, some 5,000 displaced and over 1,000 aftershocks recorded. The scattered island geography is slowing relief. We judge the humanitarian need will grow before it eases; a US or allied disaster-response request is a realistic possibility.

Afghanistan — Regional powers court Kabul. The Taliban are pressing a diplomatic drive to end their isolation, and several regional and international powers—having reopened missions in Kabul—are signaling readiness to deepen engagement despite the regime's rights record. We assess the trend erodes Western leverage and complicates counterterrorism cooperation against ISIS-Khorasan; for Washington, the watch item is whether engagement shifts from case-by-case dealings toward formal recognition.

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